Chief Cabinet Secretary's Statement

On the CUB Incident and the Legitimacy Standards for Stablecoins

November 26, 2024
Chief Cabinet Secretary

1. Position of the Government of Japan on the CUB Incident

In recent years, an international underground financial network using crypto-assets (hereafter "CUB") has been identified. CUB exploits USDT-based stablecoins and TRON-based chains for money laundering, fraud, and illicit cross-border transfers.

The Government of Japan expresses its **deep regret** regarding the damage caused by CUB and the risks posed to public safety and financial stability.

Japan is currently conducting **joint investigative cooperation with the United States**, coordinated through the National Police Agency, the Financial Services Agency, the Ministry of Finance, and related authorities.

Japan will continue to act decisively against criminal misuse of crypto-assets in accordance with domestic law and international AML/CFT frameworks.

2. Basic Recognition of Stablecoins

Stablecoins are not legal tender. They are private liabilities issued by private entities. However, among them, a subset meeting strict requirements can function consistently with public financial infrastructure.

The Government of Japan identifies the following as the essential requirements for a **legitimate stablecoin**:

2.1 Requirements for Legitimate Stablecoins

1. Full transparency of the issuer and reserve assets
2. Third-party auditing of reserve composition and custody
3. Clear and enforceable redemption rights for holders
4. Full compliance with international AML/CFT and sanctions frameworks

3. Position of JPYC

The Japanese yen-denominated stablecoin JPYC meets the above criteria:

- Reserve assets held in bank deposits or trusts
- High transparency and periodic audits
- Full compliance with Japanese AML/CFT regulations
- Legal clarity under the Japanese Payment Services Act
- Full compatibility with domestic payment infrastructure

Therefore, JPYC is considered a **legitimate and compliant stablecoin** within the Japanese financial framework.

4. Position of USDT (Tether)

USDT circulates globally, but it does **not** meet the legitimacy criteria:

1. Reserve composition lacks transparency and independent verification
2. Redemption rights are unclear or unenforceable
3. Documented use in money laundering and sanctions evasion cases
4. Issuer reinvests reserves into higher-risk financial instruments

For these reasons, the Government of Japan classifies USDT as a **"high-risk asset,"** and does not treat it on par with domestic legitimate stablecoins such as JPYC.

5. Principles of the Government of Japan

1. Stablecoin usage in Japan must be limited to assets meeting legitimacy standards.
2. JPYC may be used safely within Japan under the existing legal framework.
3. USDT and other high-risk assets will be subject to strict AML/CFT and financial-stability measures.
4. Japan will work closely with the United States and the international community to dismantle CUB and other illicit financing networks.
5. Japan supports the development of transparent, legally compliant stablecoins while preventing misuse for criminal or destabilizing activities.

6. Conclusion

This statement is issued to safeguard Japan's monetary sovereignty, financial stability, and the integrity of the international order.

Japan will support the growth of transparent and lawful stablecoin ecosystems while responding decisively to illicit crypto-asset networks such as CUB.

End of Statement